

Senior Management Functions

Source: <https://www.prarulebook.co.uk/prarules/senior-management-functions/03-03-2026>

Effective Date: 03-03-2026

Type: PRA Rule

Scraped: 2026-03-02 20:50

1

Application and Definitions

1.1

Unless otherwise stated, this Part applies to every `_firm_` that is:

1. (1) a `_CRR firm_` ;
2. (2) a `_credit union_` ; or
3. (3) a `_third country CRR firm_` in relation to:
 1. (a) the activities of its establishment in the `_UK_` ; or
 2. (b) if it does not have an establishment in the `_UK_` , its activities in the `_UK_` .

1.2

In this Part, the following definitions shall apply:

`_Chief Executive function_`

has the meaning given in 3.2.

`_Chief Finance function_`

has the meaning given in 3.3.

`_Chief Operations function_`

has the meaning given in 3.8.

`_critical function_`

has the meaning given in section 3(1) and (2) of the Banking Act 2009.

`_FCA activities_`

means a function which would, except for SUP10C.9.8R of the `_FCA Handbook_` , be an `_FCA governing function_`.

`_FCA approval_`

means at any time an approval granted to and in effect for a `_person_` by the `_FCA_` under section 59 of `_FSMA_` (Approval for particular arrangements) for the performance of a `_controlled function_` specified by the `_FCA_`.

`_Group Entity Senior Manager function_`

has the meaning given in 5.2.

Head of Key Business Area function

has the meaning given in 3.6.

Head of Overseas Branch function

has the meaning given in Senior Management Functions 7.2.

Senior Independent Director function

has the meaning given in 4.6.

1.3

This Part does not apply to a function performed by:

1. (1) a _person_ acting as an insolvency practitioner within the meaning of section 388 of the Insolvency Act 1986; or
2. (2) a _person_ acting as a nominee in relation to a voluntary arrangement under Parts I (Company Voluntary Arrangements) and VIII (Individual Voluntary Arrangements) of the Insolvency Act 1986; or
3. (3) a _person_ acting as an insolvency practitioner within the meaning of Article 3 of the Insolvency (Northern Ireland) Order 1989; or
4. (4) a _person_ acting as a nominee in relation to a voluntary arrangement under Parts II (Company Voluntary Arrangements) and VIII (Individual Voluntary arrangements) of the Insolvency (Northern Ireland) Order 1989.

2

General

2.1

Each of the functions in 3 to 7 is a _controlled function_.

2.2

1. (1) A _firm_ (other than a _credit union_ or a _third country CRR firm_) must ensure that one or more _person_ performs each of the following _PRA senior management functions_ on its behalf:
 1. (a) the _Chief Executive function_;
 2. (b) the _Chief Finance function_ ; and
 3. (c) the _Chair of the Governing Body function_.
2. (2) If a vacancy arises in respect of one or more of the _PRA senior management functions_ set out in (1), a _firm_ must ensure that it appoints a _person_ to fill that vacancy as soon as practicable.

2.3

To the extent that,

1. (1) a _firm_ appoints a _person_ to perform a function which, but for this rule, would be a _PRA senior management function_ ;
2. (2) the appointment is solely to provide cover for a _PRA approved person_ whose absence is:
 1. (a) temporary; or
 2. (b) reasonably unforeseen; and
3. (3) the appointment is for less than 12 weeks in a consecutive 12-month period,

the description of that _PRA senior management function_ does not relate to those activities of that _person_.

2.4

1. (1) If a _person_ has been approved to perform a _PRA senior management function_ in relation to a _firm_ and also performs _FCA activities_ , performance of the _PRA senior management function_ will include the performance of those _FCA activities_ , provided the following conditions are met:

1. (a) the _PRA's_ approval to perform a _PRA senior management function_ has been granted and continues in force;
2. (b) at the time of approval being granted by the _PRA_ , that _person_ was not subject to an _FCA approval_ to perform the particular _FCA governing function_ ;
3. (c) the _firm_ made the notification required by SUP10C.9.8 R (4) of the _FCA Handbook_ ; and
4. (d) that _person_ performs and is continuing to perform the _FCA activities_ .

2. (2) If a _person_ has been approved to perform a _PRA senior management function_ in relation to a _firm_ which includes performance of _FCA activities_ in the circumstances set out in (1), and that _person_ :

1. (a) ceases to perform the _PRA senior management function_ ;
2. (b) within three months of ceasing performance, is approved to perform a new _PRA senior management function_ ; and
3. (c) continues to perform the _FCA activities_ ,

performance of the new _PRA senior management function_ will include the performance of those _FCA activities_ , provided the conditions in (1) (a)-(d) are met.

2.5

If a _PRA approved person_ who has been performing a _PRA senior management function_ which includes performance of _FCA activities_ in the circumstances set out in 2.4, ceases to perform a _PRA senior management function_ but continues to perform the _FCA activities_ , 2.4 will continue to apply in respect of the performance of the _FCA activities_ until the earlier of:

1. (1) approval by the _FCA_ in respect of the performance by that person of those _FCA activities_ as an _FCA governing function_ in relation to the firm; or
2. (2) three _months_ from the time that the _person_ ceased to perform that _PRA senior management function_.

2.6

If a _PRA approved person_ :

1. (1) (other than in the circumstances set out in 2.4 or 2.5), performs one or more _FCA responsibilities_ ;
2. (2) ceases to perform any _PRA senior management function_ ; and
3. (3) that _person_ does not have an _FCA approval_ to perform an _FCA controlled function_ in relation to that firm

the functions in (1) will continue to be part of the _PRA senior management function_ which the _person_ most recently performed for that _firm_ until the earlier of:

1. (1) approval by the _FCA_ in respect of the performance by that person of an _FCA controlled function_ in relation to the _firm_ ; or
2. (2) three _months_ from the time that the _person_ ceased to perform that _PRA senior management function_.

2.7

1. (1) A _firm_ must take all reasonable steps to ensure that before a _person_ :

1. (a) begins to perform a _PRA senior management function_ ; or

2. (b) begins to perform new or revised responsibilities in performance of a __PRA senior management function__
2. that _person_ is provided with all of the information and materials that the _person_ may reasonably expect in order to perform that __PRA senior management function_ or those new or revised responsibilities effectively and in accordance with the _regulatory system_.
3. (2) A _firm_ must have a policy about how it complies with (1) including the systems and controls it uses and must maintain adequate records of the steps taken to comply with (1).

3

Executive

3.1

This Chapter does not apply to a _credit union_.

3.2

The _Chief Executive function_ (SMF1) is the function of having responsibility, under the immediate authority of the _governing body_ , alone or jointly with others, for carrying out the management of the conduct of the whole of the business (or relevant activities) of a _firm_ (other than a _third country CRR firm_).

3.3

The _Chief Finance function_ (SMF2) is the function of having responsibility for management of the financial resources of a _firm_ and reporting directly to the _governing body_ of the _firm_ in relation to its financial affairs.

3.4

The _Chief Risk function_ (SMF4) is the function of having responsibility for overall management of the risk controls of a _firm_ , including the setting and managing of its risk exposures, and reporting directly to the _governing body_ of the _firm_ in relation to its risk management arrangements.

3.5

The _Head of Internal Audit function_ (SMF5) is the function of having responsibility for management of the internal audit function of a _firm_ and for reporting directly to the _governing body_ of the _firm_ on the internal audit function.

3.6

The _Head of Key Business Area function_ (SMF6) is the function of having responsibility for management of a business area or division of a _firm_ (other than a _third country CRR firm_), where:

[deleted.]

1. (1A) either:

1. (a) both of the quantitative criteria set out in 3.6A are satisfied in respect of the relevant business area or division of the _firm_ ; or
2. (b) one of the quantitative criteria set out in 3.6A is satisfied in respect of the relevant business area or division of the _firm_ and the relevant business area or division of the _firm_ performs a _critical function_ ; and
2. (2) the _person_ performing that function does not report to a _person_ performing the _Head of Key Business Area function_ in respect of that same business area or division of the _firm_.

3.6A

The quantitative criteria referred to in 3.6 are that the relevant business area or division of the _firm_ :

1. (1) has gross total assets equal to or in excess of £10 billion; or
2. (2) accounts for more than 20% of the _firm?s_ gross revenue.

3.7

For the purposes of 3.6, the gross total assets of the business area or division of the _firm_ and the percentage of the gross revenue of the _firm_ or _group_ shall be determined on the basis of either:

1. (1) the assets and revenues for the business area or division, and the _firm_ or _group_ , as the case may be, for the _firm?s_ financial year immediately preceding that in which the _person_ is allocated with the specified responsibilities; or
2. (2) if the threshold amount is not met for that period, on the basis of the annual average amount calculated across a rolling period of five years (calculated by reference to the _firm?s_ annual accounting date). Where the _firm_ or the business area or division has been in existence for less than five years, the calculation will be made on the basis of the annual average amount for the period during which the _firm_ or that business line or division has existed (calculated by reference to the _firm?s_ annual accounting date).

3.8

The _Chief Operations function_ (SMF24) is the function of having responsibility for the internal operations and technology of a _firm_.

4

Oversight

4.1

This Chapter does not apply to a _credit union_ or a _third country CRR firm_.

4.2

The _Chair of the Governing Body function_ (SMF9) is the function of having responsibility for chairing, and overseeing the performance of the role of, the _governing body_ of a _firm_.

4.3

The _Chair of Risk Committee function_ (SMF10) is the function of having responsibility for chairing, and overseeing the performance of any committee responsible for the oversight of the risk management systems, policies and procedures of a _firm_ specified in Risk Control 2, including where applicable to the _firm_ , a committee established in accordance with Risk Control 3.1.

4.4

The _Chair of Audit Committee function_ (SMF11) is the function of having responsibility for chairing, and overseeing the performance of any committee responsible for the oversight of the internal audit system of a _firm_ specified in Compliance and Internal Audit 2.

4.5

The _Chair of Remuneration Committee function_ (SMF12) is the function of having responsibility for chairing, and overseeing the performance of any committee responsible for the oversight of the design and the implementation of the remuneration policies of a _firm_ , including where applicable to the firm, a committee established in accordance with

Remuneration 7.4.

4.6

The _Senior Independent Director function_ (SMF14) is the function of performing the role of a senior independent _director_ , and having particular responsibility for leading the assessment of the performance of the _person_ performing the _Chair of the Governing Body function_.

5

Group Entities

5.1

This Chapter does not apply to a _credit union_.

5.2

The _Group Entity Senior Manager function_ (SMF7) is the function of having a significant influence on the management or conduct of one or more aspects of the affairs of a _firm_ in relation to its _regulated activities_ (other than in the course of the performance of another _PRA senior management function_) and which is performed by a _person_ employed by, or an officer of:

1. (1) a _parent undertaking_ or _holding company_ of a _firm_ ; or
2. (2) another _undertaking_ which is a member of the _firm?s _group_.

6

Credit Unions

6.1

This Chapter applies only to a _credit union_.

6.2

The _Credit Union Senior Manager function_ (SMF8) is the function of having responsibility for the conduct of, and/or chairing the committee of management of a _credit union_.

6.3

1. (1) A _credit union_ must ensure that at least one _person_ performs the _Credit Union Senior Manager function_ on its behalf.
2. (2) If a vacancy arises in respect of the _Credit Union Senior Manager function_ , a _credit union_ must ensure that it appoints a _person_ to fill that vacancy as soon as practicable.

7

UK Branch of Overseas Firm

7.1

This Chapter applies only to a _third country CRR firm_ in relation to:

1. (1) the activities of its establishment in the _UK_ ; or

2. (2) if it does not have an establishment in the _UK_ , its activities in the _UK_.

7.1A

1. (1) 7.2 and 7.3(1) do not apply to a _third country CRR firm_ that is a _SRO firm_.

2. (2) 7.4 and 7.5 apply only to a _SRO firm_.

7.2

The _Head of Overseas Branch Function_ (SMF 19) is the function of having responsibility alone or jointly with others, for:

1. (1) the conduct of all activities of the _UK_ establishment of a _third country firm_ which are subject to the _UK_ regulatory system_ ; or

2. (2) where the _firm_ does not have an establishment in the _UK_ , the conduct of all activities which are subject to the _UK_ regulatory system_.

7.3

1. (1) A _third country CRR firm_ must ensure that at least one _person_ performs the _Head of Overseas Branch Function_ on its behalf.

2. (2) If a vacancy arises in respect of the _Head of Overseas Branch Function_ , a _third country CRR firm_ must ensure that it appoints a _person_ to fill that vacancy as soon as practicable.

7.4

A _SRO firm_ must ensure that at least one _person_ performs the _Head of Overseas Branch function_ on its behalf.

7.5

For the purposes of 7.4, the _Head of Overseas Branch Function_ (SMF 19) is the function of having responsibility to oversee the orderly run-off of the _firm's regulated activities_ in the _UK_.

8

Combination of Senior Management Functions

8.1

Except as otherwise provided in this Chapter, a _person_ may perform more than one _PRA senior management function_ on behalf of a _firm_.

8.2

A _firm_ must ensure that a _person_ who performs the _Chair of the Governing Body function_ on its behalf does not simultaneously perform the _Chief Executive function_ within the same _firm_.

[Note: Art. 88(1)(e) of _CRD_]